

Module 1

Accounting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1

Case 1:

It is not appropriate to present the financial statements in a "true and correct manner".

It is particularly important that financial statements prepared by the company must give a true and fair view, or be presented fairly in all material respects, in accordance with the applicable reporting framework. The key is that truthfulness and fairness are determined using the context of the accounting framework. The "true and fair view" concept requires that companies should apply accounting standards, and present the information in a way that meets the qualitative characteristics.

In this case, Unicorn Company must prepare financial statements in accordance with the accounting standards for presenting the true and fair view. When judgement is needed, the company must make its choices within the context of the accounting framework, but not the company guidelines and policies.

Case 2:

It is not appropriate to violate the assumption of going concern.

There can be exceptions to the assumption of going concern only if there is a clear understanding that the management plans to liquidate the company or to cease trading, or has no alternative but to do so.

In this case, Unicorn Company was established a few months ago and it will continue to operate for the foreseeable future. Hence, it must continue the use of going concern assumption. If the company considers that the ongoing pandemic could impact the ability of the business to continue its operations, it could discuss the issue to the readers of the financial statements.

Answer 2(a)

Jade Limited
Statement of profit or loss and other comprehensive income
For the year ended 30 September 2021

	HK\$	HK\$	HK\$
Sales			5,837,500
Less: Returns inwards			(122,500)
			<u>5,715,000</u>
Less: Cost of sales			
Opening inventory		422,000	
Purchases	1,345,000		
Less: Returns outwards	<u>(107,800)</u>	1,237,200	
Carriage inwards		<u>159,000</u>	
		1,818,200	
Less: Closing inventory		<u>(387,000)</u>	(1,431,200)
Gross profit			<u>4,283,800</u>
Add: Other income			
Consultancy fee income			710,500
(410,500 + 300,000)			<u>4,994,300</u>
Less: Expenses			
Carriage outwards		334,400	
Salaries (890,500 + 42,000)		932,500	
Electricity		777,500	
Bank loan interest (5,000,000 x 2%)		100,000	
Other operating expenses		316,600	
Rent and rates (666,300 – 88,000)		578,300	
Impairment loss on trade receivables			
(HK\$62,000 – HK\$48,000)		14,000	
Depreciation on building			
[(20,560,000 – 12,000,000) / 50]		171,200	
Depreciation on plant and equipment			
[(4,680,000 + 300,000) – 880,000] x 10%		<u>410,000</u>	(3,634,500)
Profit before tax			<u>1,359,800</u>
Less: Taxation			<u>(203,800)</u>
Profit for the year			<u>1,156,000</u>
Other comprehensive income:			
Revaluation surplus on freehold land			
(14,000,000 – 12,000,000)			<u>2,000,000</u>
Other comprehensive income for the year			<u>2,000,000</u>
Total comprehensive income for the year			<u><u>3,156,000</u></u>

Answer 2(b)

Jade Limited
Statement of financial position as at 30 September 2021

	HK\$ Cost/ Valuation	HK\$ Accumulated depreciation	HK\$ Carrying amount
ASSETS			
Non-current assets			
Land and building	22,560,000 [^]	1,571,200 [#]	20,988,800
Plant and equipment	4,980,000 ^{&}	1,290,000 [*]	3,690,000
	27,540,000	2,861,200	24,678,800
Current assets			
Inventory		387,000	
Trade receivables	570,000		
Less: Allowance for impairment loss	(62,000)	508,000	
Prepayment		88,000	
Cash at bank		632,000	1,615,000
Total assets			<u>26,293,800</u>
EQUITY AND LIABILITIES			
Equity			
Ordinary share capital			15,000,000
Revaluation reserve (600,000 + 2,000,000)			2,600,000
General reserves (700,000 + 200,000)			900,000
Retained earnings			
(1,320,000 + 1,156,000 – 500,000 – 200,000)			1,776,000
Total equity			<u>20,276,000</u>
Non-current liabilities			
2% Bank loan			5,000,000
Current liabilities			
Trade payables		722,000	
Tax payable		203,800	
Interest payable (100,000 – 50,000)		50,000	
Accruals		42,000	1,017,800
Total liabilities			<u>6,017,800</u>
Total equity and liabilities			<u>26,293,800</u>

[^] 20,560,000 + 2,000,000

[#] 1,400,000 + 171,200

[&] 4,680,000 + 300,000

^{*} 880,000 + 410,000

Answer 3(a)

	HK\$	HK\$
Bank	66,000	
(42,000 + 24,000)		
Suspense		66,000
Being commission income wrongly recorded in wrong side and wrong amount in the bank account.		
Suspense	5,000	
Returns inwards		5,000
Being returns inwards overcasted.		
Suspense	21,000	
Bank interest expense		21,000
Being bank interest expense debited twice in the account.		
Entertainment	55,000	
Electricity		55,000
Being entertainment expense wrongly recorded in the electricity account.		
Sales	367,800	
Accumulated depreciation*	292,800	
Profit or loss - Profit on the disposal		60,600
Equipment		600,000
Being disposal of equipment wrongly recorded in the sales account.		
*Depreciation expense for 2019 = 600,000 x 20% = 120,000		
Depreciation expense for 2020 = (600,000 – 120,000) x 20% = 96,000		
Depreciation expense for 2021 = (480,000 – 96,000) x 20% = 76,800		

Answer 3(b)

	HK\$
Profit for the year ended 31 December 2021	672,900
Profit on the disposal (5)	60,600
Returns inwards overcasted (2)	5,000
Bank interest expense recorded twice (3)	21,000
	759,500
Less: Disposal of equipment wrongly recorded in the sales account (5)	(367,800)
Adjusted profit for the year ended 31 December 2021	391,700

Answer 4(a)

Bank account			
	HK\$		HK\$
Balance b/f	180,000	Cash purchases	130,400
Cash sales	480,000	Trade payables	556,700
Trade receivables	472,500	Operating expenses	112,000
		Balance c/f	333,400
	<u>1,132,500</u>		<u>1,132,500</u>

Trade receivables account			
	HK\$		HK\$
Balance b/f	220,560	Bank	472,500
Credit sales	660,000	Bad debts	6,000
		Discounts allowed	22,000
		Returns inwards	45,000
		Balance c/f	335,060
	<u>880,560</u>		<u>880,560</u>

Answer 4(b)

Trade payables account			
	HK\$		HK\$
Bank	556,700	Balance b/f	432,600
Discounts received	25,000	Credit purchases	370,500
Returns outwards	12,000		
Balance c/f	209,400		
	<u>803,100</u>		<u>803,100</u>

Answer 4(c)

	HK\$	HK\$
Inventories as at 30 June 2021		662,500
Goods received from the suppliers (55,000 – 7,000)		48,000
Returns inwards	12,000	
Less: Profit margin (12,000 x 25 / 125)	<u>(2,400)</u>	9,600
Less: Cost of goods delivered to a customer	88,000	
Less: Profit margin (88,000 x 25 / 125)	<u>(17,600)</u>	(70,400)
Less: Decrease in value of damaged items (32,000 – 24,000)		<u>(8,000)</u>
Goods on hand before fire on 4 July 2021		641,700
Less: Inventories as at 4 July 2021		<u>(225,000)</u>
Inventories loss in the fire		<u>416,700</u>

* * * END OF EXAMINATION PAPER * * *